



Web3 & Bitcoin's Market Cycles

Reading the Signals That Actually Matter

By Samuel Je Christian · Web3 Corner Date: May 27, 2026



Why Most People Get Cycles Wrong

Every time Bitcoin drops — people say it's dead. Every time Bitcoin pumps — people say it's going to a million.

Neither reaction is based on signals. Both are based on emotion.

Bitcoin has gone through four major market cycles since 2012. Each one followed a similar pattern. Each one felt completely different from the inside. Understanding cycles — and the signals that actually define them — is the difference between making decisions and being controlled by them.



What Is a Market Cycle?

A market cycle is a recurring pattern of price movement driven by:

-  Supply and demand
-  Investor psychology
-  Macro conditions
-  On-chain data

In crypto, cycles are heavily influenced by **Bitcoin's halving** — the event every ~4 years where the new BTC supply issued per block is cut in half. Less new supply + same or growing demand = historically upward price pressure.

The Four Phases of Every Cycle:

1. **Accumulation:** Price is low. Sentiment is bearish. Informed buyers accumulate quietly. On-chain: long-term holders buying. Media: *"Bitcoin is dead."*
2. **Markup:** Price starts rising. Momentum builds. New buyers enter. FOMO begins. On-chain: active addresses rising. Media: *"Bitcoin is recovering."*
3. **Distribution:** Price near peak. Smart money selling. New buyers still entering at high prices. On-chain: exchange inflows rising. Media: *"Bitcoin to \$1 million."*
4. **Markdown:** Price falling. Panic selling. Leveraged positions liquidated. On-chain: long-term holders holding. Media: *"Crypto winter."*

Then the cycle repeats.



Where Are We Now — May 2026?

[!IMPORTANT] Bitcoin is caught between critical on-chain support and an options showdown this week. Heavy supply concentration and large options positioning continue to suppress volatility and keep Bitcoin range-bound near **\$77K - \$82K**.

The signals to watch:

On-Chain Support

Bitcoin has significant on-chain support in the **\$74K - \$78K** range — where a large number of coins last moved and were accumulated.

- Breaking below this zone with volume would be a bearish signal.
- Holding this zone confirms the accumulation phase.

\$6 Billion Options Expiry — May 29

Every month's last Friday brings significant options expiry. On May 29, **\$6 billion** in Bitcoin options will expire.

- **Max Pain:** ~\$75,000 (the price at which the most options expire worthless).
- Bulls need Bitcoin above \$82K at expiry. Bears need it below \$75K. The battleground is the \$77K - \$82K range.

Bitcoin ETF Outflows

Bitcoin ETFs saw billions in outflows this week as rising Treasury yields stifle hopes for interest rate cuts. When risk-free yields are attractive, institutional capital rotates away from risk assets like Bitcoin — temporarily. This is macro, not fundamental. When rates eventually fall — capital rotates back.

AI Tokens Outperforming

AI-related crypto tokens are outperforming Bitcoin and Ethereum in May 2026. The narrative is clear: AI is the dominant technology theme globally. Web3 infrastructure that intersects with AI — AI agents, on-chain compute, data markets — is capturing the attention and capital that drives short-term outperformance.

The Signals That Actually Matter — Long Term

Day-to-day price action is noise. These are the signals worth tracking:

-  **MVRV Ratio:** Current: watch for above 2.5 as a caution zone. Below 1: historically the best accumulation zones.
-  **Long-Term Holder (LTH) Supply:** When LTH supply is rising, smart money is accumulating (Bullish long-term). When LTH supply is falling sharply, distribution is happening (Caution).
-  **Hash Rate:** Bitcoin's mining hash rate is near all-time highs. This means more computing power than ever is securing the Bitcoin network. Miners don't invest in hardware unless they are confident in long-term price.
-  **Institutional Flows:** ETF inflows and outflows reflect institutional sentiment week by week. Short-term noise — but sustained outflows signal macro headwinds, while sustained inflows signal institutional accumulation.
-  **Halving Cycle Position:** The last Bitcoin halving was in April 2024. Historically, the 12-18 months after halving produce the largest price appreciation. We are in that window

now. The cycle is not over — it is in progress.

What About Altcoins?

Bitcoin dominance in 2026 remains high — but capital is rotating.

- **AI tokens:** Outperforming on narrative.
- **DePIN tokens:** Outperforming on real revenue.
- **RWA tokens:** Gaining as institutional adoption grows.

The altcoin cycle typically follows Bitcoin:

Bitcoin stabilizes → Capital rotates to ETH → Then to large-cap alts → Then to small-cap alts

We are currently in the Bitcoin stabilization phase. The rotation has not fully begun, but the signals of early rotation are visible in AI and DePIN token outperformance.

The Common Mistakes in Every Cycle

1. **Buying the top on FOMO:** When media is euphoric, the distribution phase has usually already begun. By the time everyone knows, it's too late.
2. **Selling the bottom on fear:** When media declares crypto dead, the accumulation phase is usually in progress. The biggest gains go to those who hold through the markdown to the next markup.
3. **Over-leveraging:** Leverage amplifies gains in markup. It destroys portfolios in markdown. The graveyard of crypto investors is filled with people who were right about direction but wrong about leverage.
4. **No exit plan:** Most people know when to buy. Almost nobody knows when to sell. Set targets before euphoria clouds judgment. MVRV above 3.5 historically = caution zone.
5. **Ignoring macro:** Bitcoin does not exist in a vacuum. Rising Treasury yields, Fed rate decisions, and geopolitical events all affect crypto markets — especially in 2026, when institutions are fully part of the ecosystem.

The One-Line Summary

Bitcoin market cycles are not random — they follow patterns driven by halvings, on-chain supply dynamics, institutional flows, and investor psychology that repeat across every cycle, regardless of what the price is doing on any given day.

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